

# Lesson 4 — Sales Planning

How a fashion retailer converts a business target into a practical sales plan

## What is Sales Planning?

Sales planning is the process of breaking a top-line target into measurable targets that the business can actually trade against. A planner moves from total company sales to season, month, category, channel, store and sometimes SKU.

Think of it like planning a journey: the annual destination is the total sales target, while monthly, category and store targets are the checkpoints.

## The sales-planning cascade

Annual target → Season / quarter → Month → Channel → Store → Category → Product → Units

### 1. Start with the annual target

Example: a business plans ■10 crore of annual sales. If the target growth is 15%, the previous-year sales implied by that target are  $\text{■10 crore} \div 1.15 = \text{about } \text{■8.70 crore}$ . The 15% growth assumption is illustrative, not an industry benchmark.

### 2. Phase the target by month

Fashion demand is rarely equal every month. Festive periods, summer, winter, promotions and end-of-season sales can change the sales curve. The planner should therefore create a monthly phasing rather than divide the annual target equally.

### 3. Allocate by category

Example: if the annual target is ■10 crore and shirts represent 30%, the shirt sales target is ■3 crore. The same logic can be applied to polos, T-shirts, trousers, denim and other categories.

### 4. Convert value into units

Units required = Sales value ÷ ASP. If planned sales are ■30 lakh and the average selling price is ■3,000, the plan requires 1,000 units.

### 5. Track plan versus actual

Key measures include Sales Plan, Actual Sales, Achievement %, Variance ■, Variance %, ASP and Units. These should be reviewed by month, channel and category.

## Core formulas

Achievement % = Actual Sales ÷ Planned Sales × 100

Variance ■ = Actual Sales – Planned Sales

Variance % = Variance ■ ÷ Planned Sales × 100

Units = Sales Value ÷ ASP

ASP = Sales Value ÷ Units

## Illustrative category plan

| Category | Mix | Annual Sales Plan | Illustrative ASP | Units Required |
|----------|-----|-------------------|------------------|----------------|
|----------|-----|-------------------|------------------|----------------|

|          |     |            |        |        |
|----------|-----|------------|--------|--------|
| Shirts   | 30% | ■30,00,000 | ■3,000 | 10,000 |
| Polos    | 20% | ■20,00,000 | ■2,500 | 8,000  |
| T-shirts | 20% | ■20,00,000 | ■1,500 | 13,333 |
| Trousers | 10% | ■10,00,000 | ■5,000 | 2,000  |
| Denim    | 20% | ■20,00,000 | ■6,000 | 3,333  |

## Practical exercise

Use the Excel workbook to create a 12-month sales plan. Start with an annual target, assign monthly weights that total 100%, allocate sales by category, enter ASP assumptions, calculate units, and then enter actual sales to see achievement and variance.

## Key takeaway

A good sales plan translates a big annual number into clear commercial actions. It tells every part of the business what sales are expected, when they are expected and what product or channel must deliver them.